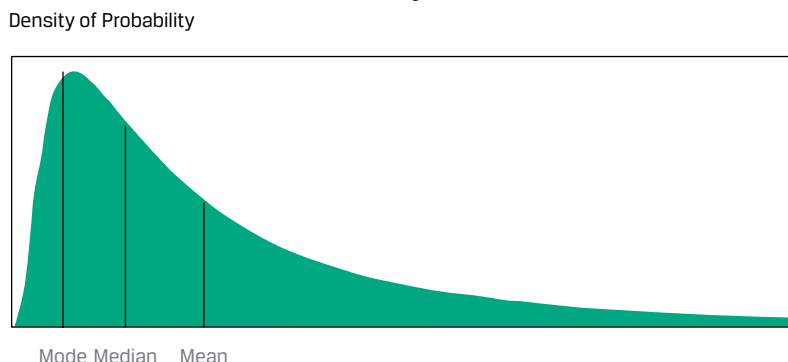


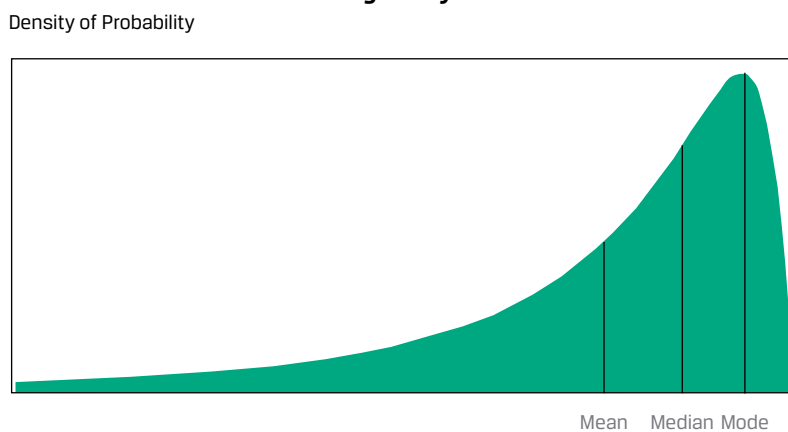
of Exhibit 17 illustrates a continuous positively skewed distribution, which has a long tail on its right side; Panel B illustrates a continuous negatively skewed distribution, which has a long tail on its left side.

Exhibit 17: Properties of Skewed Distributions

A. Positively Skewed



B. Negatively Skewed



For a continuous positively skewed unimodal distribution, the mode is less than the median, which is less than the mean. For the continuous negatively skewed unimodal distribution, the mean is less than the median, which is less than the mode. For a given expected return and standard deviation, investors should be attracted by a positive skew because the mean return lies above the median. Relative to the mean return, positive skew amounts to limited, though frequent, downside returns compared with somewhat unlimited, but less frequent, upside returns.

Skewness is the name given to a statistical measure of skew. (The word “skewness” is also sometimes used interchangeably for “skew.”) Like variance, skewness is computed using each observation’s deviation from its mean. **Skewness** (sometimes referred to as relative skewness) is computed as the average cubed deviation from the mean, standardized by dividing by the standard deviation cubed to make the measure free of scale.

Cubing, unlike squaring, preserves the sign of the deviations from the mean. If a distribution is positively skewed with a mean greater than its median, then more than half of the deviations from the mean are negative and less than half are positive. However, for the sum of the cubed deviations to be positive, the losses must be small